

AMD Q4 2025 Earnings Transcript

Blind Sentiment & Directional Score

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Conventions (sealed before reading)

- **Outputs (exactly four):** sentiment score $\in [-1, +1]$, directional signal $\in \{\text{BUY, HOLD, SELL}\}$, structured summary, evidence quotes.
- **HOLD band:** $|\text{overnight move}| < 2.00\%$. Above $+2.00\%$, BUY is correct. Below -2.00% , SELL is correct.
- **Timing rule:** The company releases after the market close. The overnight move is defined as $(\text{next-trading-day Open} \div \text{release-day Close}) - 1$, applied identically to every report.
- **Price source:** Yahoo Finance daily OHLC pulled via the `yfinance` Python library.
- **Research:** Google is allowed for context (definitions, prior-quarter framing, industry data). Not allowed before sealing: the stock's price action after the release, after-hours quotes, or post-call analyst takes.
- **Pre-registered metrics:** the primary metric is the Information Coefficient (correlation between the sentiment score and the realised move); the BUY/HOLD/SELL labels are additionally scored with the Matthews Correlation Coefficient (MCC), where guessing the most common label scores zero. Both fixed in advance; no new metrics after seeing results.
- **Horizons:** returns are recorded at overnight, 1, 3, 5, 10 and 20 trading days to locate where the signal lives. The $\pm 2.00\%$ band applies to the overnight move only.

Report metadata

Company	Advanced Micro Devices, Inc. (AMD)
Report	Q4 2025
Release date	Tuesday 3 February 2026, after close
Earnings call	5:00pm ET
Source transcript	Motley Fool
Press release	Form 8-K, SEC EDGAR, filed 3 February 2026
Read mode	transcript and news only
Time to produce	55 minutes

Source material (read this first)

Headline financials

- Q4 revenue \$10.3B, up 34% year over year and 11% sequentially. Full-year revenue \$34.6B, up 34%.
- Data Center \$5.4B, up 39%. Client and Gaming \$3.9B, up 37%. Embedded \$950M, up 3%.
- Gross margin 57%, up 290bps year over year. Net income \$2.5B, up 42%. Diluted EPS \$1.53, up 40%.

Forward guide

- Q1 2026 revenue guided to about \$9.8B plus or minus \$300M, ahead of the roughly \$9.4B consensus, including only \$100M of China MI308.
- Q1 gross margin about 55%, opex about \$3.05B.
- Management pointed to significant top and bottom line growth in 2026.

Hedges and concerns

- China GPU sales called highly uncertain, with only \$100M assumed and no further guidance.
- Semi-custom gaming revenue expected to decline a significant double-digit percentage in 2026.
- PC headwinds from memory and component inflation, with the second half modeled subseasonal.

News and context going into the print

Pre-release context only. Nothing below reveals the market reaction to this report.

- The October 2025 OpenAI partnership (a multi-gigawatt Instinct deployment with warrants attached) had re-rated the stock, so expectations were high going in.
- Consensus looked for about \$9.7B of Q4 revenue.
- The print landed in a jumpy week for AI names, with the market openly debating whether hyperscaler capex was running ahead of returns after Meta and Microsoft reported days earlier.

Candidate evidence quotes

1. “Customer pull for Venice is very high with engagements underway” – Su, prepared remarks.
2. “Gross margin was 57%, up 290 basis points year over year” – Hu, prepared remarks.
3. “We are not forecasting any additional revenue from China” – Su, Q&A.
4. “The vast majority ... going to be RackScale solutions” – Su, Q&A.

Your scoring – fill in below, then seal

1 Sentiment score

Score: +0.75

Rationale. A clean beat and raise. Revenue came in well ahead of consensus, the data center accelerated to 39%, margins expanded and the Q1 guide sits above the Street. The China uncertainty and the coming gaming decline are real but secondary.

2 Directional signal

Signal: BUY

Rationale. A beat, acceleration and an above-consensus guide is the classic BUY setup, and the risks management flagged are known ones. The danger is how much the OpenAI re-rating already priced in, but the numbers argue up.

3 Structured summary

- **Data center and AI.** Accelerating, with record revenue and rack-scale demand building.
- **Client and gaming.** Strong now, but the 2026 semi-custom decline is a known drag.
- **Margins and cash.** Genuinely impressive, with 57% gross margin and EPS up 40%.
- **Forward guide.** Above consensus even with China assumed at only \$100M.

4 Evidence quotes

1. “*Customer pull for Venice is very high with engagements underway*” – Su, prepared remarks (next-gen server).
2. “*Gross margin was 57%, up 290 basis points year over year*” – Hu, prepared remarks (margins).
3. “*We are not forecasting any additional revenue from China*” – Su, Q&A (guide conservatism).

— **SEALED** —

Overnight move and call verification

AMD close, 3 February 2026 (release day)	\$242.11
AMD open, 4 February 2026	\$215.00
Overnight move (release close → next open)	−11.20%

Call verification

- HOLD band test: $|-11.20\%| \geq 2.00\%$, so this is not a HOLD.
- Sign test: the move is negative, so the correct directional call is **SELL**.
- Score given vs. correct call: signal was **BUY**. The correct call was **SELL**, so the call was **INCORRECT**.

Horizon returns (pre-registered)

For the Information Coefficient. Returns measured from the same baseline close used for the overnight move, at fixed trading-day horizons, from the single price source (yfinance). Filled only after sealing.

Horizon	Return
Overnight (baseline for the label)	−11.20%
D+1 close	−17.31%
D+3 close	−13.91%
D+5 close	−11.79%
D+10 close	−17.34%
D+20 close	−16.54%